WHAT ARE CHART PATTERNS?

Chart patterns are specific price structures that have predictive abilities based on historical behavior. Some of these price patterns include names like Triangle pattern, Flag, Wedges, Channels and Candlestick patterns.

These chart patterns reflect the mass psychology and actions of the market participants. ***For example, contracting triangle patterns represent the consolidation as bulls and bears reach equilibrium before the chart explodes and gives a breakout in any one of the directions.***

A clear formation of chart patterns allows traders to identify reliable structure and buy or sell based on the expected outcomes with an edge.

This also helps traders with a clear entry and exit signal. There are various automated scanning tools available which can identify these patterns across multiple market types.

Now that you are familiar with chart patterns, let us talk about the VCP or the Volatility Contraction Pattern.